

Portfolio Tier Restructure — Three-Conviction Framework

Compiled April 30, 2026

Replacing the four-theme basket structure (Second Order, MAG OVERLAP, Power, Energy) with a three-tier conviction structure. Total monthly contribution remains \$625 with \$75 buffer staying in TS7. Existing positions are not liquidated. New monthly contributions redirect to the tier structure over 6 to 12 months.

Tier A — Locked Revenue, Naming Their Price

50 percent of total contributions, \$312.50 per month.

Eleven names with contractually-locked revenue through 2027 to 2030. Insulated from equity multiple compression because buyers must pay contracts regardless of broader market conditions.

GEV at 18 percent. 83 GW backlog through 2030, gas turbines plus 195 percent pricing since 2019.

MU at 15 percent. CY2026 HBM sold out at fixed prices, pricing power binary.

TSM at 12 percent. N2 booked through 2028, foundry monopoly.

CEG at 10 percent. 20-year MSFT and META PPAs, 1B DOE loan secured.

AVGO at 10 percent. 73B AI backlog, six confirmed custom silicon customers.

VRT at 8 percent. 15B backlog, 2.9x book-to-bill.

ETN at 7 percent. 13.2B Electrical Americas backlog, 70 percent YoY DC orders.

VST at 6 percent. 20-year AMZN and META PPAs, 6.6 GW Meta basket exposure.

FIX at 5 percent. 11.94B backlog doubled in 2025, 45 percent tech revenue.

EME at 5 percent. 13.25B RPO, 82 percent 12-month conversion.

DELL at 4 percent. 43B AI server backlog.

Tier B — Q2 2026 Earnings Re-Evaluation

30 percent of total contributions, \$187.50 per month.

Names with strong evidence but partial demand-constrained criteria. Q2 2026 earnings (late July through August) are the natural decision point. Each Tier B name either confirms upgrade to Tier A or signals downgrade.

NVDA at 15 percent. Tier A on demand but execution-dependent on OpenAI LOI conversion and Vera Rubin yield.

LITE at 12 percent. Sole-source 200G EML, customer concentration in optical.

COHR at 10 percent. Book-to-bill 4x in OCS, mixed across legacy segments.

GD at 10 percent. 118B backlog, defense fortress, submarine industrial base bottleneck.

LDOS at 10 percent. 49B backlog, unfunded portion uncertain.

BE at 8 percent. 20B Oracle and AI backlog, pipeline approval Aug 2026 binary.

MP at 8 percent. DOD price floor, commercial volume scale-up unproven.

PWR at 7 percent. 43.98B backlog, strong but not naming price.

ANET at 5 percent. Strong AI networking, customer concentration in hyperscalers.

APH at 5 percent. Book-to-bill 1.31x, datacom 38 percent mix plus 110 percent growth.

MRVL at 5 percent. Trainium2 in volume, socket-loss risk on 3 and 4.

LLY at 5 percent. GLP-1 demand exceeds supply, Q2 earnings clarify post-compounding competition.

Tier C — Speculative Long-Cycle

15 percent of total contributions, \$93.75 per month.

Pre-revenue and execution-dependent names where the thesis is real but the timeline is long (2027 to 2030). Smaller absolute dollar exposure preserves optionality without overcommitting capital to unproven thesis.

OKLO at 25 percent. Meta deal real, first reactor 2030 plus.

RKLB at 20 percent. 1.85B backlog, Neutron delayed Q4 2026.

NBIS at 20 percent. 46B AI cloud deals, capex and revenue gap material.

PLTR at 15 percent. Software pricing power, valuation discipline matters.

MOD at 10 percent. DC growth strong, margin profile recovery.

POWL at 10 percent. Backlog growing, execution-dependent.

Watchlist and Cash Buffer

5 percent of total contributions, \$31.25 per month.

Names that don't currently meet either Tier A or Tier B threshold but could re-rate. This becomes the bucket for opportunistic adjustments based on Q2 earnings or geopolitical catalysts (Hormuz resolution, China rare earth re-imposition, Trump-Xi summit outcome).

ALOY pending DoD-style anchor contract.

ACM strong but professional services not naming price.

MCHP recovery story not constraint story.

AMD TSMC allocation laggard.

ORCL buyer-adjacent.

AMZN, META, GOOGL, MSFT are buyers not sellers, get exposure through suppliers instead.

Total Monthly Contribution Structure

Tier A (locked names): \$312.50 per month, 50 percent.

Tier B (Q2 earnings re-evaluation): \$187.50 per month, 30 percent.

Tier C (speculative long-term): \$93.75 per month, 15 percent.

Watchlist and cash buffer: \$31.25 per month, 5 percent.

Total: \$625 per month.

Plus the existing \$75 per month buffer in TS7 stays as discretionary capital for geopolitical events or specific entry opportunities.

Strategic Logic

Hollow Bottom break in Q2 to Q3 2026 accelerates AI capex via post-recession rate-cut reflation pattern (dotcom, GFC, COVID analogs). Tier A names have contractually-locked revenue through 2027 to 2030 (multi-year backlogs, fixed-price HBM, 20-year PPAs, slot reservations to 2030). They are insulated from equity multiple compression because buyers must pay contracts regardless of broader equity conditions.

Don't follow it down. Concentrate where capex is already committed. Don't liquidate existing positions. Redirect new contributions over 6 to 12 months. XOM stays outside the auto-invest as Hormuz hedge. Q2 2026 earnings is the Tier B re-evaluation point.

What This Structure Does

Separates three decisions that the current basket structure conflates:

Concentration decision is now binary by tier. Tier A is "money is locked, ride the rate-cut reflation." Tier B is "evaluate at Q2 earnings." Tier C is "long-cycle optionality with capped downside exposure."

Timing decision is built into the structure. Q2 2026 earnings becomes the natural re-evaluation point for Tier B promotions or demotions. Tier A doesn't move because it's already locked. Tier C doesn't move because the timeline is 2027 to 2030 regardless of Q2 prints.

Sizing decision is clearer. You're not weighing GEV against MU within Energy basket logic. You're weighing both as Tier A members against each other directly based on multi-bidder leverage and forward visibility.

Q2 2026 Specific Actions

When Q2 prints land, structured framework for response:

If Tier B name beats and confirms Tier A criteria (book-to-bill, backlog visibility, locked pricing), promote to Tier A and increase weight.

If Tier B name disappoints or shows demand softening, demote to Tier C or watchlist.

If Hollow Bottom break manifests in equity prices but Tier A operational metrics intact, increase Tier A allocation from 50 percent to 55 to 60 percent using watchlist and cash buffer.

If Tier A name shows operational stress, reduce within Tier A and reallocate to other Tier A names.

Transition Logic

Don't liquidate existing positions. Stop new contributions to the current four-basket allocation. Redirect new monthly contributions to the new tier structure. Existing positions remain. April 28 was the first auto-invest, so the existing weights are essentially proof-of-concept rather than embedded positions.

Over 6 to 12 months, the natural averaging effect of monthly contributions reweights the portfolio toward tier structure without forcing capital gains events or timing-the-bottom decisions.

Considerations Outside the Tier Structure

XOM remains outside this auto-invest structure as a thesis-based fortress position. The four-basket to three-tier transition doesn't affect XOM. It still provides Hormuz and Iran shock hedge that the AI infrastructure tiers don't.

COIN under consideration for Tier B addition at 5 to 7 percent, trading against MRVL (socket-loss risk) or LLY (GLP-1 thesis weakening). Stablecoin thesis at consensus formation per Aggarwal Q1 2026 data and Dimon April 2026 shareholder letter.

Solana ecosystem (SOL, BSOL, FSOL) consideration as separate non-auto-invest allocation. Doesn't fit demand-constrained physical capacity logic that ties Tier A through Tier C together. Cleaner option: keep Tier C as physical-AI and space speculative bucket, treat crypto exposure as separate decision outside the auto-invest structure.